

Week ending: 12th April 2021

Weekly Fixed Income Note

Key Highlight:

A total of KES **24.0 Billion** worth of T-bills were on offer during the week. The **91-day** & **182-day** T-bill were undersubscribed recording **79.03%,** and **25.59%** respectively while the **364-day** was oversubscribed recording **146.27%**. The CBK accepted KES **3.16B**, **2.43B** and **14.53B** respectively of the bids for the **91-day, 182-day,** and **364-day** T-bills on offer accepting a total of **20.12B.**

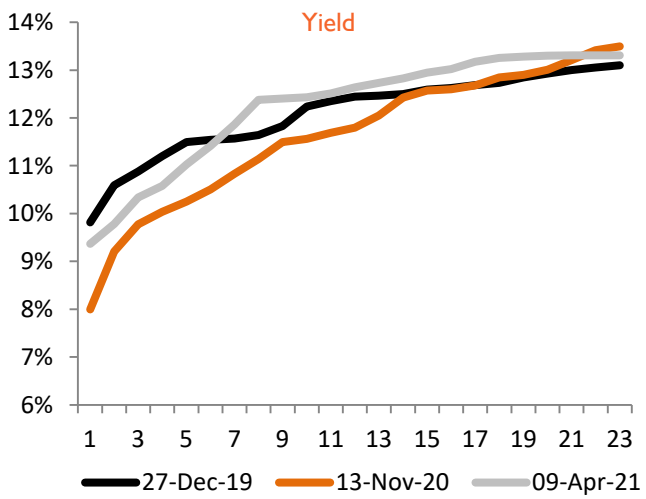
The Central Bank of Kenya opened an infrastructure bond **IFB1/2021/18** from **26/03/2021** to **06/04/2021** in a bid to raise **60Bn.** The bond was oversubscribed with the CBK receiving **KES 88.58Bn** worth of bids and accepting **KES 81.94Bn.** CBK offered a coupon rate of **12.67%** for the bond.

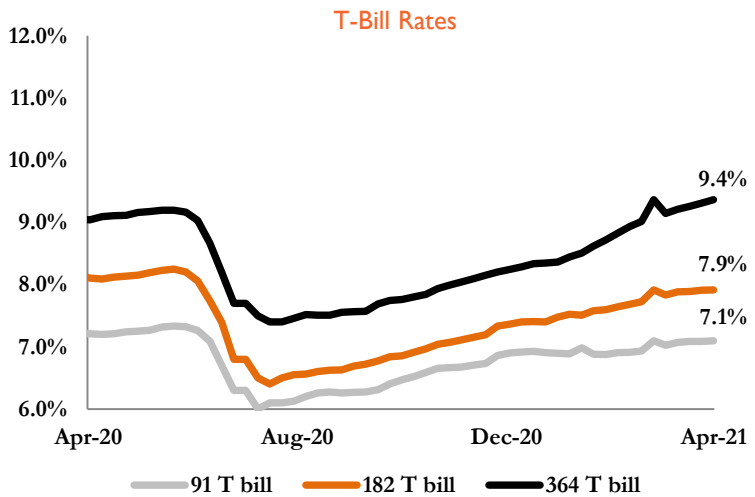
Key Indicators

	Current	Previous	% Change
91- Day	7.10%	7.09%	0.01%
182-Day	7.91%	7.91%	0.00%
364-Day	9.37%	9.31%	0.06%
Interbank Rate	3.60%	5.59%	-35.60%

Macroeconomic data	Current	Previous
GDP (3Q20 vs. 3Q19)	-1.1%	5.8%
Inflation (March)	5.90%	5.78%
Private sector credit growth (December)	8.40%	8.10%
Money Supply (December)	13.20%	14.20%

Interest Rates





MACROECONOMIC NEWS

Currency

The Kenya shilling gained ground against the greenback this past week appreciating by **1.26%** to trade at **KES 107.97**. The CBK's usable forex reserves currently stands at **USD 7,425 million (4.56** months of import cover**)** as at April 8th a **1.11%** increase from **USD 7,343 million (4.51** months of import cover**)** as at April 1st .

Inflation

In March, Headline inflation increases to **5.90%** from **5.78 %** in February. The CPI increased by **0.40%** from **113.37** in February to **113.81** in March. This increase occurred on the back of a rise in food and fuel prices. Meanwhile, the food and alcoholic beverages index increased by **0.35%** due to the increase in prices of select food items. Headline inflation is likely to increase on the back of higher food and fuel prices.

GDP growth

Growth receded by **-1.1%** in 3Q20 from **5.8%** in the corresponding period of 2019. The economic performance remained depressed due to the crisis caused by the pandemic. However, an improvement was observed compared to 2Q20. The quarterly improvement was majorly supported by growth in the agricultural sector that recorded **6.3%** growth compared to **5.0%** in 2019 and growth in construction by **16.2%** versus **6.6%** in 2019. Manufacturing, Electricity and Transportation sectors each recorded **3.2%, 4.7%** and **9.9%** growth respectively.

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